

9708 / O/ N/ 2017 v11

1-A:

A positive statement is an **objective statement** (since it is based on empirical evidence) that **can** be tested using factual evidence, whereas , a normative statement is a **subjective statement**(since it is based on opinions or value judgments) , that **can not** be tested using factual evidence.

This is why key A will be correct.

2-A:

Percentage change between 1990 - 1995	Percentage change between 1995-2000	Overall change
Czechia: 60%	10%	70%
Hungary: 40%	20%	60%
Romania: 30%	15%	45%
Slovakia: 50%	20%	70%

- A- As can be seen above, Czechia initially made the fastest change of about 60%, thus making it correct.
- B- No, Hungary did not make the least overall change; instead Romania did
- C- No, Romania did not make the greatest overall change; instead Czechia and Slovakia did
- D- Slovakia did not make the steadiest change since the rate increased and then decreased

3-C:

The fact that farmers use traditional methods and lack access to finance represents inefficiency, which indicates that the economy is not operating at its potential, and is operating inside the PPC, represented through point S

- A- Movement from point R to T represents that the country who is operating on its potential has done reallocation of resources , indicating the concept of opportunity cost. This cannot be the case here as the economy is not operating on its potential
- B- Movement from S to R does represent a move to the potential but it shows that more of manufactured goods are produced, which is incorrect as because of improvement in agricultural practices, the output of agricultural goods must instead increase.
- C- Movement from S to T does represent a move to the potential , and also it shows that more of agricultural goods are produced which in turn leads to "C" being the answer.
- D- This is incorrect as the economy is not operating on its potential

4-B:

A: Both merit and de-merit goods ,that are private goods. involve an opportunity cost.

B:An opportunity cost represents the real cost of choosing a thing and not the other , that is the value of the next best alternative foregone. Production of economic goods involves an opportunity cost, whereas since free goods are unlimited in supply and there is an absence of the basic condition of scarcity, no opportunity cost is involved, which is why this option becomes correct.

C: Inferior goods and normal goods involve an opportunity cost, as instead of providing public transport or private transport, firms can provide for healthcare that is a merit good for example.

D: The producers incur an opportunity cost whilst involving themselves in the production process of private goods. Furthermore, the government's action of providing public goods for example: streetlights would reduce the capital available to invest in provision of infrastructural development, for example.

5-D:

A – A change in consumer preferences does not lead to a shift in the supply curve, and instead brings a shift in the demand curve. However, an increase in the price of a substitute good leads to an increase in the demand for good, which in turn brings a movement along the supply curve, which is right, but overall this option is incorrect.

B-A decrease in factor productivity does cause a shift in the supply curve, but an imposition of tax on good X also causes a shift in the supply curve, it does not bring a movement in the supply curve, therefore this is incorrect.

C-An increase in the price of a complementary good causes a fall in demand of the product and does not bring a shift in the supply curve. Similarly, changes in factor productivity will also bring a shift in the supply curve, instead of causing a movement along the supply curve, thus making this incorrect.

D-An increase in wage rates in the industry causes a leftward shift in the supply curve, and a change in consumer preferences causes a shift in the demand curve causing a movement along the supply curve, therefore this option is correct.

6-C:

A: Initial price: 1 ; $10+5(P)$ $10+5(1) = 15$ New price : 2; $10+5(2)$ $10+10 = 20$ Qty supplied does not double	B: At price 1, qty will be 15 At price 3. Qty will be $10+5(3)$ Qty will be $10+15 = 25$ The qty supplied does not double
C: At price 1, qty will be 15 At price 4. Qty will be $10+5(4)$ Qty will be $10+20 = 30$ The qty supplied doubles, this is why key C is correct.	D: At price 1, qty will be 15 At price 5. Qty will be $10+5(5)$ Qty will be $10+25 = 35$ The qty supplied does not double

7-B:

Market demand curve is the horizontal summation of all individual demand curves

- A- It does not involve summation of both : vertical axis and horizontal axis
- B- Yes, it represents summation of **horizontal axis, that represents qty**
- C- We do not have an option to either sum up vertical axis or horizontal axis to obtain market demand
- D- Again, this is incorrect as the vertical axis is not summed up

8-D:

Total Revenue is obtained by multiplying price with qty

This means that qty will be obtained by dividing Total Revenue with price

In period 1, qty will be 8000(96000/12)

In period 2, qty will be 8000(40,000/5)

In period 3 , qty will be 8000(64000/8)

In period 4, qty will be 8000 (80,000/10)

In period 5, qty will be 8000 (32000/4)

In all the years , qty supplied is remaining unchanged despite changes in prices, which represents “perfectly inelastic supply” whereby $PES=0$ (this is why option D will be the answer)

A – We do not have information pertaining to PPC or output combinations to deduce opportunity cost.

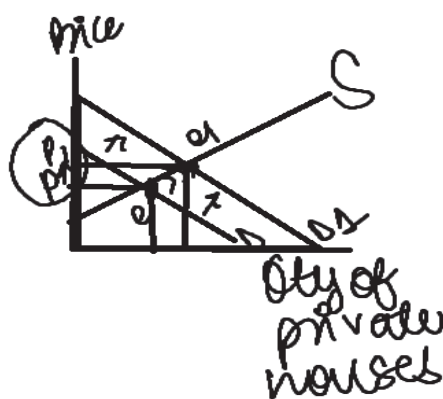
B_ We do not have information about income elasticity of demand to help us deduce whether the good is an inferior good or not.

C- No, the PED is not one, as if it would have been unitary elastic demand, the Total Revenue would have stayed unchanged.

Another method is to use the formula of percentage change to identify the percentage change in price and the percentage change in revenue.

If percentage change in price= percentage change in revenue, then it would be “perfectly inelastic supply”

9-C:



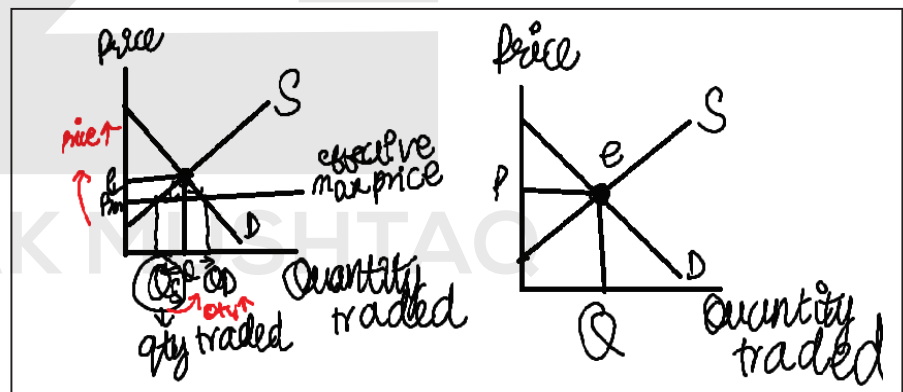
A relaxation of controls on private house ownership leads to an increase in demand for private houses, thereby causing a **shortage** and in turn the **prices of private houses to rise**. Since consumers have replaced demand for apartments or in other words they have reduced the demand for rented apartments to switch to private houses, the reduction in demand for apartments causes a **surplus in the market of rented houses**, and in turn **fall in the price for apartments**, thereby making option C correct, this can be shown above.

10-A:

A- A removal of maximum price leads to an increase in price, and in turn an extension in quantity supplied that is the quantity traded, and will cause a contraction in quantity demanded, thereby achieving the new qty traded. This new quantity traded will be greater than the original quantity traded, which was the quantity supplied, this is shown on the right. This is why option A is the answer.

B- Technological progress in the production of a good leads to an increase in supply, which causes a fall in price, and even though it leads to an extension in equilibrium qty (quantity demanded), overall this option is incorrect.

C- Imposition of a tax on the good causes a fall in supply, and even though it causes a rise in price, it leads to a contraction in equilibrium quantity (quantity demanded), thereby making this option to be incorrect overall.



D- Granting a subsidy leads to an increase in supply, and in turn causes a fall in equilibrium price; here we are interested in an option that brings a simultaneous increase in price and qty traded in the market.

11-D:

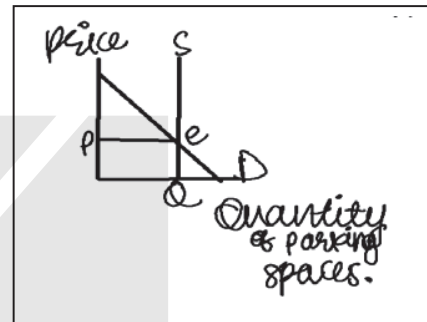
A- The manager wishes for allocation of parking spaces at the hospital according to the price mechanism, in order for price mechanism to be functional, it is not required to provide

alternative means of transport for those who can't afford the equilibrium price, only those with the sufficient willingness and ability are left to purchase the good, thus making this incorrect.

- B- A survey is not needed to find the amount consumers are willing to pay for price mechanism to be functional, since price signals provide crucial information about changes in consumer demand and preferences to individuals.

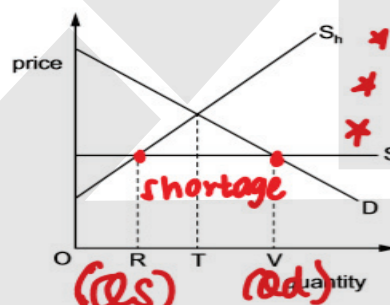
C-Trading should be done at equilibrium price for resource allocation to be done through price mechanism, there is no requirement of extension in capacity of carpark to enable functioning of price mechanism.

D-As can be seen on the right, for the price mechanism to be operational, prices should be charged at OP(that is the equilibrium price)



12-D:

- 12 The diagram shows a market for a good which is supplied partly from domestic production and partly from imports. S_h represents domestic supply and S_m represents imports.



What will be the level of consumption and the associated quantity of imports?

	consumption	quantity of imports
A	OT	RT
B	OT	OT
C	OV	RT
D	OV	RV

13-B:

Consumer surplus is the difference between the maximum price a consumer is willing to pay and the price that he ends up paying, which is the market price.

It is the area above the market price and under the demand curve, which in this case is "WXY"

Total consumer expenditure is equal to price multiplied by qty, which in this case is "OXYZ", thus making B correct

14-A:

Minimum wage represents that at-least a certain level of wage must be maintained.

For minimum wage to be effective, it must be set above the equilibrium, this way it can rise from *this* level but not fall, preventing it from reaching back to the equilibrium level of wage. In this case, only the wage rate A represents minimum wage due to it being above the equilibrium.

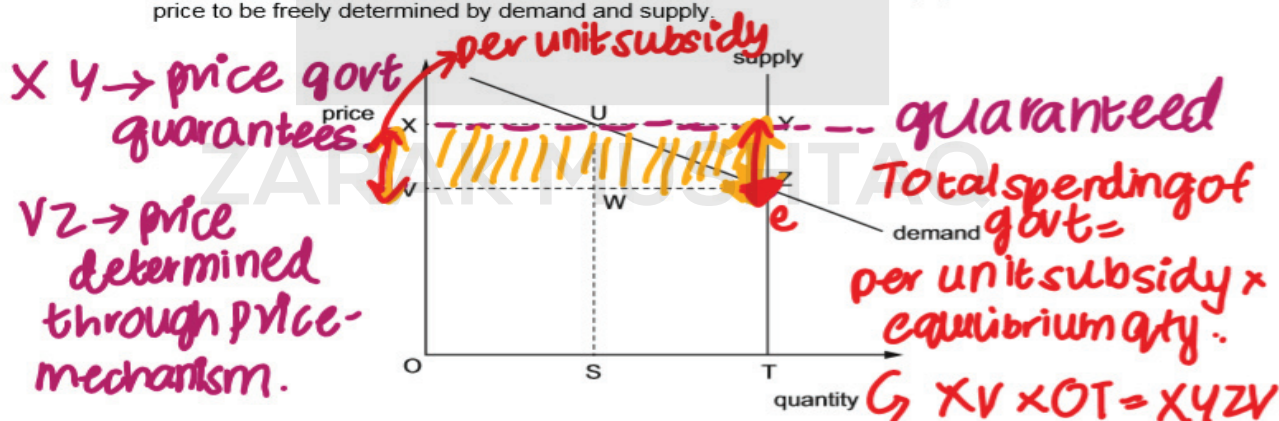
If minimum wage is set below the equilibrium, as with wage rates C and D, it will be ineffective, as although it can not fall from this level, it can rise and, in this case, reach the equilibrium, thus making these options incorrect, and since B represents "equilibrium wage", it can not be the answer either.

15-C:

- A- Production subsidy does not cause an increase in demand; instead it causes a rise in supply
- B- It does not cause the supply curve to shift leftwards; instead, it shifts rightwards.
- C- This is correct as subsidy is a financial incentive: a cash or a grant payment given by the government to the producers, which reduces their costs of production, encouraging them to increase their supply, thus making this correct.
- D- No, it is not a money taken from firms by the government. Instead, it is the other way round.

16-D:

16 The diagram shows the market supply and demand curves for an agricultural product. The government guarantees producers a price of at least OX for their output, but allows the market price to be freely determined by demand and supply.



Which area in the diagram represents the total subsidy payments made by the government to producers?

A UYTS

B UYZW

C XUWV

D XYZV

17-A:

If transfer payments that are payments made to individuals without goods or services being received in exchange are provided, for e .g : welfare benefits, there is a likelihood of an increase in consumption.

But since, it is funded by an increase in direct taxation, it will reduce the disposable incomes and in turn purchasing powers subsequently resulting in a **fall in consumption**.

An increase in indirect taxation when causes a rise in prices and a fall in real incomes, brings about a **fall in consumption**

Since consumption increases on one end and decreases on the other , and due to us being unaware of the magnitude of change, it can be said that the net effect on consumption will be that "it will be uncertain", thus making option A correct.

18-D:

- A- We can not say that employment fell in the railway industry, this is because , we have data about labor productivity and not labor. Although, one reason of a fall in labor productivity in the railway industry may be a rise in number of workers since the formula of labour productivity is : $\text{Output/labour} * 100$.
- B- We have data in percentage of labor productivity , and based on this we cannot comment with certainty that employment was unchanged. To say this, we need data about changes in employment and absolute figures of the number of labour.
- C- Although the rise in labor productivity is the highest in the ship building industry, we cannot say if the total output was the greatest since we do not have absolute figures about output available.
- D- Yes, this is correct to say that efficiency in the ship building industry fell, or in other words, labour productivity fell since output per worker has fallen after privatization.

19-C:

Budget is the difference between government spending and Tax revenue

If the government increased defense expenditure, this rise in govt spending that represents injections into the circular flow will lead to a rise in Aggregate demand causing the Aggregate demand curve to shift rightwards from AD1 TO AD2.

Similarly, a rise in labor productivity will cause a fall in costs, subsequently resulting in a rightward shift in Aggregate supply curve from AS1 to AS2.

This is how, a new equilibrium is achieved from X to C.

20-C:

$$\begin{array}{lcl}
 \text{March 2016} & \rightarrow & \text{CPI } 151.3 \\
 \text{April 2016} & \rightarrow & 148.6
 \end{array}
 \left. \vphantom{\begin{array}{lcl} \text{March 2016} \\ \text{April 2016} \end{array}} \right\} -1.78\% \downarrow$$

$$\rightarrow \frac{\text{New} - \text{Old}}{\text{Old}} \times 100$$

$$\rightarrow \frac{148.6 - 151.3}{151.3} \times 100; \text{prices fell by } 1.78\%$$

[there is an existence of deflation]

A-Due to a fall in the general price level, this suggests that there will be deflation in the economy; there will not be a decrease in the annual rate of inflation as this means that “prices are still increasing but at slower rate”. This is why, this will be incorrect.

B-In a period of deflation, there is an increase in real interest rate, as can be seen below, thus making this incorrect.

$$\begin{array}{l}
 \text{Real Interest rate} = \text{Nominal interest rate} - \text{Rate of inflation} \\
 \rightarrow 1\% - (-2\%) \rightarrow \text{negative inflation} \\
 \rightarrow 1\% + 2\% \\
 \rightarrow \textcircled{3\%} \\
 \text{Real interest rate rises in a period of deflation}
 \end{array}$$

C-In a period of deflation, there will be an increase in the purchasing power of money, thus making this correct. Essentially, you can buy more goods or services tomorrow with the same amount of money you have today, this is why, this becomes correct.

D - Bad deflation in an economy occurring as a result of a decrease in Aggregate demand brings about a down-ward multiplier effect i.e. a fall in incomes, output and employment, which may represent a fall in living standards. This is why, this is incorrect.

21-D:

- A- An increase in consumer savings would decrease spending and in turn consumption expenditure, leading to a fall in Aggregate demand, which will lead to a fall in the general price level of an economy, or in other words, it would result in demand pull inflation being controlled.
- B- An increase in interest rates after having increased savings would result in a fall in consumption, again leading to a fall in Aggregate demand, which will result in inflation being reduced.
- C- An increase in labor productivity would decrease costs and lead to a rise in Aggregate supply, which would result in a surplus, and in turn a fall in prices (which means that cost-push inflation is controlled)
- D- If through imposition of tariffs, imported goods become relatively expensive, there will be a contraction in qty demanded by a smaller percentage when the demand for them is inelastic

which would result in a rise in import expenditures and also costs and in-turn a reduction in Aggregate supply, that would result in “cost-push inflation”, thus making this correct

22-C:

- A- Since a rich business investor purchased a football club in the UK ,there will be a rise in demand for footballers in the UK rather than a fall.
- B- And, as stated above , a rise in demand for footballers would result in a rise in earnings of footballers, instead of a fall.
- C- Since a foreign direct investment is being made, UK will experience an inflow of payments in its Balance of payments , thus making this correct.
- D- This is incorrect as Balance of trade represents trade in goods and services rather than capital investment, which makes it incorrect.

23-B:

Since Australia’s spending on imports fall, less payments will be made which represents a **fall in the supply of currency.**

And because of a fall in investment abroad by Australian firms, when they call back their investments , the supply of currency will decrease again.

This is only shown in option B, through a leftward shift in the supply of currency curve.

All other options involve changes in demand representing foreigners’ reactions , making them incorrect

24-C:

Terms of trade is the ratio of export prices to the ratio of import prices.

It is measured using the formula:

$\text{Export prices} / \text{Import prices} * 100$

In the base year, TOT is equal to 100, which means that both: import prices and export prices equalled to 100.

- A- After a decrease in import prices by 10%, the new price of imported goods becomes 90, and therefore TOT will be $(100/90)*100$ i.e. **111.1**
- B- After an increase in import prices, the TOT will fall as now it will be **90.9**
- C- After an increase in export prices by 10%, the export prices become 110, and therefore TOT will be $(110/100)*100$ i.e. **110, making this correct**
- D- Although here, the new export price index is 120 after a 20% increase and the new import price index is 110 after a 10% increase, the TOT will be $(120/110)*100$ i.e. **109**, thus making this incorrect too.

25-D:

A) Faster economic growth in the region: One of the main intentions behind the introduction of the euro is to foster faster economic growth in the region. This integration was expected to contribute to economic growth by increasing trade and promoting economic cooperation among member countries.

B) Greater labor mobility and employment in the region: Another objective of the **economic union** was to enhance labor mobility within the region and boost employment opportunities. **This is because , in case of an economic union, there is a freedom of mobility of factors of production, including labor.**

C) More international trade within the region: The introduction of the euro aimed to stimulate increased international trade within the region. By eliminating exchange rate fluctuations, businesses could trade more easily and efficiently with each other.

D) More international trade with non-members: An **economic union is not** intended to promote trade with non-member countries .This is why, this becomes correct

26-A:

A: If transport costs are greater than opportunity cost ratios, this means that there would be no “gains from trade”, thus making this correct

B: In a situation where-by the exchange rate lies between the opportunity cost ratios of two countries, the countries will trade to benefit from gains of trade.

C: Immobility of factors of production between countries is not a cause of concern since we are trading goods rather than factors of production.

D: This is incorrect as trade is based on comparative advantage rather than absolute advantage.

27-C:

A- A ban on imports represents “embargo” that is a tool of protectionism

B- “Import tariffs” on agricultural products is also a tool of protectionism

C- Maximum price on food sold in supermarkets is not an example of protectionism; instead it is a “price-control”

D- Strict health and safety requirements represents red tapes which is again a tool of protectionism

28-B:

If the government cuts the income tax rates, this will increase the disposable income and in turn consumption expenditure, leading to a rightward shift in the Aggregate demand curve from **AD1 TO AD3**. **This means that a new equilibrium point will be achieved from "x" to "B"**

29-B:

- A- Although a reduction in income tax rates would increase disposable incomes and in turn consumption expenditure leading to a rise in Aggregate demand, representing an expansionary effect on national income, it would contribute to a deficit due to a rise in consumption expenditure on imports as well, which makes it incorrect.
- B- A reduction in interest rates would increase investments as a result of a fall in costs of borrowing, which would result in a rise in Aggregate demand, representing an expansionary effect on national income. **And a fall in interest rates since leads to depreciation of the exchange rate, it would lead to a Balance of trade surplus in the long-run when the combined elasticities of demand of imports and exports is greater than 1, thus making this correct**
- C- Government subsidies to individuals wanting to purchase houses, would result in a rise in spending and increase in expenditures by consumers would result in a rise in Aggregate demand, which represents an expansionary effect on national income. **But, it has nothing to do with a Balance of Trade surplus**
- D- **Again**, a rise in government spending would result in a rise in Aggregate demand, which represents an expansionary effect on national income. **But, it has nothing to do with a Balance of Trade surplus**

30-A:

Budget deficit is increased when government increases its spending relative to tax revenues. When the government increases its spending, it injects money into the economy. This increased spending can stimulate aggregate demand, leading to higher levels of consumption and investment. By boosting overall economic activity, increased government spending can help counter deflationary pressure

Encourages borrowing and investment: By reducing interest rates, the cost of borrowing decreases. This makes it more attractive for businesses and individuals to take on loans for investment purposes, such as expanding production or starting new projects. Increased borrowing and investment can stimulate economic activity and aggregate demand, which can counter the downward pressure on prices and output associated with deflation.

Increases consumer spending: Lower interest rates can make it cheaper for individuals to borrow for consumption purposes, such as buying **big ticket items, that is**, a house, car, or other goods. This can boost consumer spending and stimulate Aggregate demand, which helps prevent or alleviate deflationary pressures. Increased consumer spending can contribute to higher prices and overall economic activity.